



HackenProof

SUMMARY REPORT

Kinetic Audit Contest



SMART CONTRACTS CODE LANGUAGE

Solidity

REPORT CREATED

11.04.2025

AUDIT DURATION

20.01.2025 - 20.02.2025

PREPARED BY

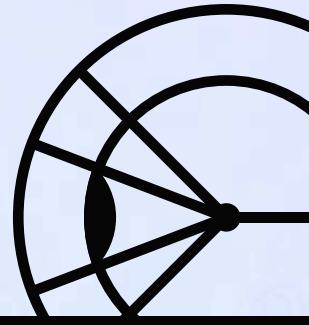
HackenProof team

HackenProof Crowdsourced Audit is your solution to maximize the cybersecurity level with involvement of over 30k of the most skilled and experienced community researchers in the industry

Approved by	HackenProof team
Name	Kinetic Audit Contest
Type	Smart Contracts
Technology	Solidity
Timeline	20.01.2025 - 20.02.2025
Deployed contract / GitHub	Public

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OVERVIEW

ABOUT AUDIT

BUDGET
ALLOCATED

\$40 000

TOTAL REPORT
SUBMITTED

175

SCOPE REVIEW
COUNT

4700

ABOUT KINETIC

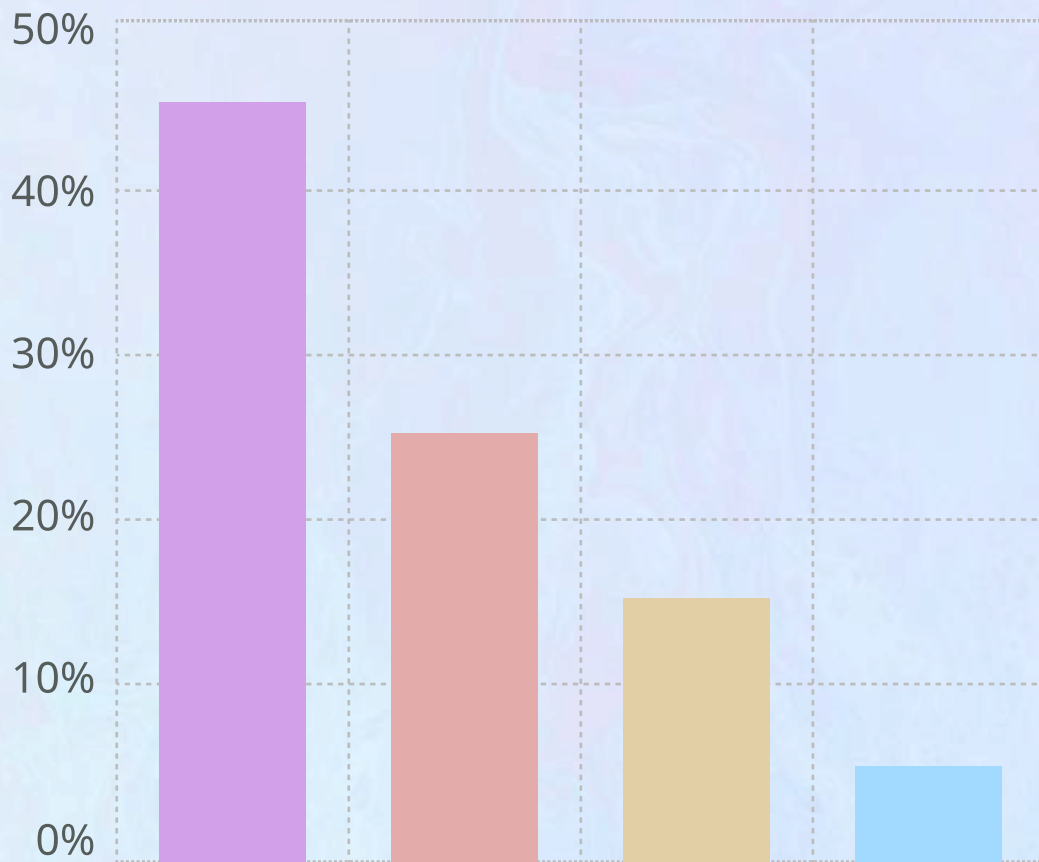
Kinetic is here to kickstart De-Fi and guide the Flare ecosystem into its next stage of explosive growth. We want to inspire you to activate your assets, whether they are traditional (ERC20) or non-traditional (FAssets), and turn their latent potential into progress. Through the tooling provided by Kinetic, you can develop and employ advanced financial strategies with long-term benefits. We are an ecosystem-tailored money market enhanced with an optional work-to-earn element through Kii Stake.

SCOPES AND TARGETS

Target	Type	Tech
https://github.com/kinetic-market/public-money-market-contracts	 Smart contract	 Solidity

PAYMENT STATISTICS

REWARDS DISTRIBUTION



- 45% for critical issues
- 25% for high issues
- 15% for medium issues
- 5% gas optimization issues, best practices

BUDGET

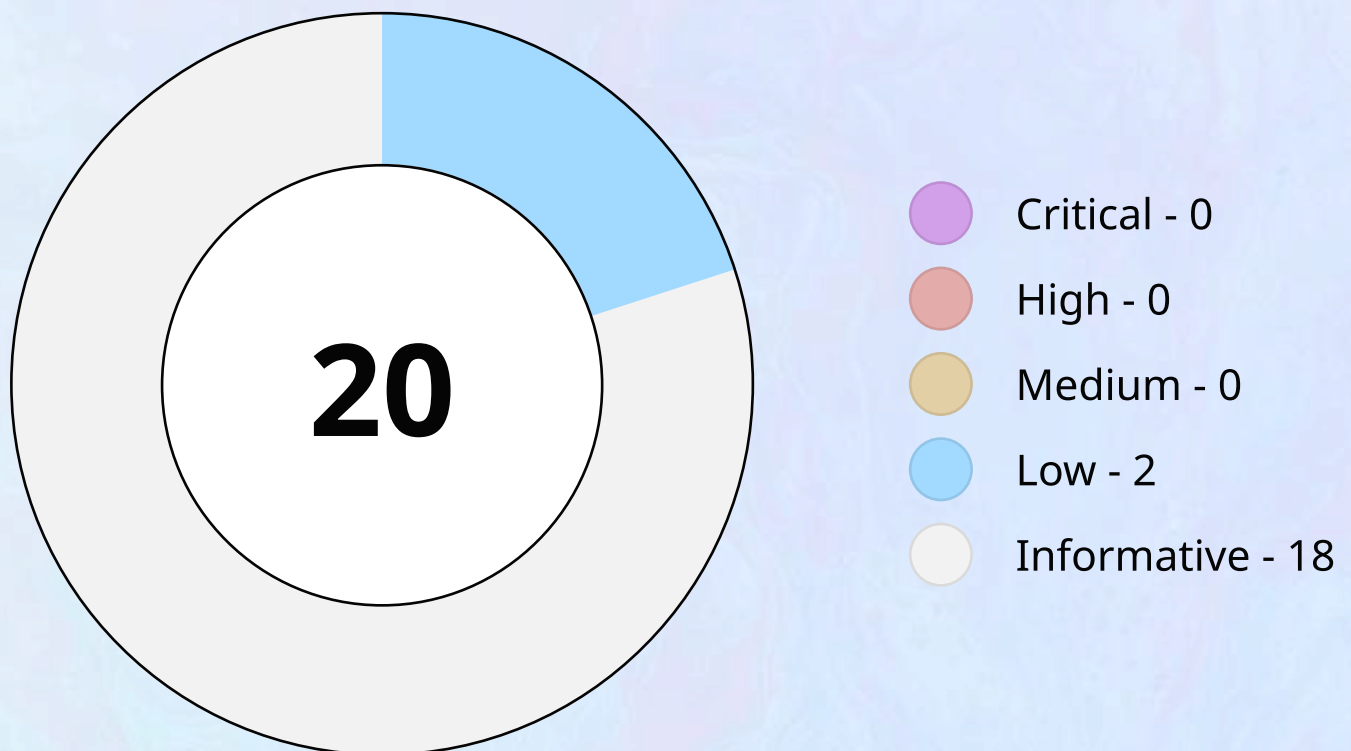
\$40 000

TOTAL PAID OUT

\$2 000

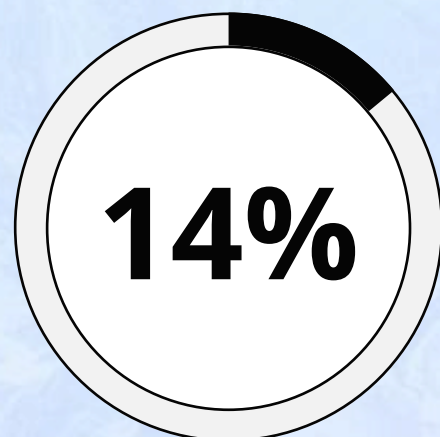
FINDINGS

VALID REPORTS STATISTICS



SIGNAL-TO-NOISE RATIO

Displays the ratio of the Valid reports and Received reports. Valid reports include Informative, Triaged, Paid, Resolved, Discosed statuses



FINDINGS LIST

Name	Severity	Submission date	State
KINETIAC-166  <u>Borrowing donated tokens to grief and then steal all the tokens in the protocol</u>	• Informative	18.02.2025	Disclosed
KINETIAC-161  <u>Reward Distribution Precision Loss Could Lead to Zero Rewards</u>	• Informative	18.02.2025	Disclosed
KINETIAC-158  <u>The protocol allows borrowing small positions that can create bad debt</u>	• Informative	18.02.2025	Disclosed
KINETIAC-149  <u>Borrow Rate Exceeding borrowRateMaxMantissa Can Cause Protocol Failure</u>	• Informative	17.02.2025	Disclosed
KINETIAC-148  <u>Wrong `DOMAIN_TYPEHASH` definition</u>	• Low	17.02.2025	Disclosed
KINETIAC-145  <u>`depositTokens` May Lead to Sending Excessive Tokens</u>	• Informative	17.02.2025	Disclosed

	Name	Severity	Submission date	State
	KINETIAC-144 <u>`useOraclePrice` Cannot Be Modified</u>	• Informative	17.02.2025	Disclosed
	KINETIAC-138 <u>Borrow Rate Max Mantissa Not Optimized for Flare Network's Block Time</u>	• Informative	16.02.2025	Disclosed
	KINETIAC-137 <u>Interest rate manipulation in cToken markets where `borrowCap = 0` (i.e unlimited borrowing).</u>	• Informative	16.02.2025	Disclosed
	KINETIAC-120 <u>Zero-Address Allocation Burns Ether</u>	• Informative	14.02.2025	Disclosed
	KINETIAC-106 <u>Borrow rate calculation can cause `accrueInterest()` to revert, causing DoS in all major functionality</u>	• Informative	14.02.2025	Disclosed
	KINETIAC-105 <u>borrowRateMaxMantissa was not adjusted after switching from block.number to block.timestamp.</u>	• Informative	14.02.2025	Disclosed

Name

Severity

Submission
date

State

KINETIAC-103



Inappropriate Maximum
Borrow Rate for Fast Block
Times on the Flare
Network

• Informative

14.02.2025

Disclosed

KINETIAC-93



Validate Implementation
Address in Proxy Upgrade

• Informative

13.02.2025

Disclosed

KINETIAC-80



Risk of Exchange Rate
Manipulation Caused by
Multiple Entry Point
Tokens

• Informative

11.02.2025

Disclosed

KINETIAC-78



Hardcoded gas limit

• Informative

11.02.2025

Disclosed

KINETIAC-77



Consider overrides
'renounceOwnership'
function in
'esProtocol.sol'.

• Informative

11.02.2025

Disclosed

KINETIAC-72



Division by Zero in APR
Calculation in 'Lens.sol'.

• Low

11.02.2025

Disclosed

Name

Severity

Submission
date

State

KINETIAC-64



Price Validation and
Arithmetic Vulnerabilities
in
RedeemBurnRateCalculato
rV3

• Informative

09.02.2025

Disclosed

KINETIAC-22



`Comptroller` expecting
`getUnderlyingPrice` to
return `0` for errors

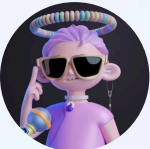
• Informative

21.01.2025

Disclosed

SECURITY RESEARCHERS

TOP HACKERS

Researcher	Total findings	Payouts	Place
 <u>@polaristow</u> Polaristow	13	\$547.58	1
 <u>@Bauer</u> Bauer	19	\$416.63	2
 <u>@0xiehnkta</u> Heavenly Demon	15	\$285.7	3
 <u>@erictee</u> erictee	12	\$285.7	4
 <u>@JakeFromStateFarm</u> JakeFromStateFarm	25	\$285.7	5

CONCLUSION

ABOUT KINETIC

The audit makes no statements or warranties on security of the code. It also cannot be considered as a sufficient assessment regarding the utility and safety of the code, bugfree status or any other statements of the contract.

It is important to note that you should not rely on this report only - we recommend proceeding with several independent audits and a public bug bounty program to ensure security of smart contracts.

TECHNICAL DISCLAIMER

Smart contracts are deployed and executed on blockchain platform. The platform, its programming language, and other software related to the smart contract can have its vulnerabilities that can lead to hacks. Thus, the audit can't guarantee the explicit security of the audited smart contracts.